Tab 1

Organic FMCG Product Marketing

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Executive Summary

This project was undertaken to explore how value-added organic products can be developed, positioned, and sold within a limited-budget FMCG environment. The core challenge addressed was how to convert horticultural produce into commercially viable, preservative-free products while maintaining affordability and profitability.

The project involved end-to-end execution — including product development, pricing strategy, branding, direct-to-consumer marketing, and financial performance tracking. Products such as pickles, jam, juice, chutney, and aonla preserve were produced and marketed through cost-efficient digital marketing initiatives and structured word-of-mouth outreach.

With an initial investment of ₹6,000, the project generated ₹9,900 in revenue and achieved a net profit of ₹3,900, resulting in an overall ROI of 65%.

This project demonstrates my ability to translate academic knowledge into real-market application, combining production understanding with marketing execution, cost management, and consumer behavior analysis in a practical FMCG context.

Introduction

This case study presents a practical FMCG marketing project carried out during the seventh semester of the B.Sc. (Hons.) Horticulture program, with a focus on value addition through the processing and sale of organic fruit- and vegetable-based products. The project followed the entire product journey, beginning with preservative-free production and extending to pricing decisions, direct-to-consumer sales, cost-efficient marketing execution, and financial performance evaluation. By integrating academic knowledge of food processing with real-world market interaction, the study highlights hands-on experience in FMCG marketing, consumer response analysis, and profitability assessment under budget-constrained conditions.

Project Overview

1. The project aimed to leverage local, organic ingredients for creating high-quality value-added products: assorted pickles, pineapple jam, juice, papaya chutney, and aonla preserve.

2. All products were made without chemical preservatives, appealing to health-conscious consumers and differentiating from conventional offerings.
3. The initiative served as a practical lab-to-market experiment addressing student learning and community nutrition.
4. Led and executed end-to-end product development, pricing, branding, and direct-to-consumer marketing of organic FMCG products, achieving an overall ROI of **65%** within a constrained project budget.

Target Market & Customer Segmentation

The primary target segment consisted of **college students aged 18–25** who prefer affordable, homemade-style food products with perceived health benefits. This group demonstrated moderate price sensitivity but showed strong interest in preservative-free and natural food options.

The secondary segment included **faculty members, staff, and nearby families** who valued traditional taste, quality ingredients, and direct purchasing from known producers.

Buying motivation across segments included:

- **Health-conscious** consumption
- Trust in **homemade** preparation
- Affordable **pricing**
- **Word-of-mouth** recommendations

Purchase behavior was largely relationship-driven and influenced by peer recommendations, WhatsApp communication, and product sampling experiences.

Consumer Insight Analysis

Students in the 18–25 age group demonstrated a strong preference for homemade-style food products due to emotional drivers such as trust, familiarity, and perceived health benefits. Many respondents expressed concerns regarding preservatives and artificial additives in national FMCG brands. Affordability also played a crucial role, as students operate within limited disposable income. Faculty and local families showed preference for freshness and locally sourced ingredients.

The primary pain points identified included lack of transparency in ingredients, high pricing of branded organic products, and limited access to small-batch, preservative-free options. These insights guided product positioning and communication strategy.

STP Analysis

Segmentation:

- Students (18–25 years)
- Faculty members
- Local households

Targeting:

Primary focus was on students due to higher purchase frequency and word-of-mouth potential.

Positioning:

The brand was positioned as a preservative-free, affordable organic alternative offering homemade taste with transparency in sourcing.
This positioning strategy differentiated the brand from national FMCG players by emphasizing freshness, authenticity, and community trust.

Marketing Mix (4Ps)

Product:

Small-batch organic pickles, jams, juices, and chutneys with no added preservatives.

Price:

Affordable premium pricing strategy balancing accessibility and quality perception.

Place:

Direct-to-consumer model within the university ecosystem and local community.

Promotion:

WhatsApp campaigns, peer referrals, sampling, pamphlets, and visual posters highlighting health benefits.

Key Challenges Faced

1. Managing perishable produce efficiently while maintaining quality and food safety standards, without using synthetic additives.
2. Introducing a new product in a market already familiar with well-established brands.
3. Working within a limited total budget of ₹6,000, which required prioritizing budget-optimized, high-impact outreach suited to a student-led project.
4. Finalising a price point that ensured profitability while still appealing to the target audience.

Product Development & Brand Building

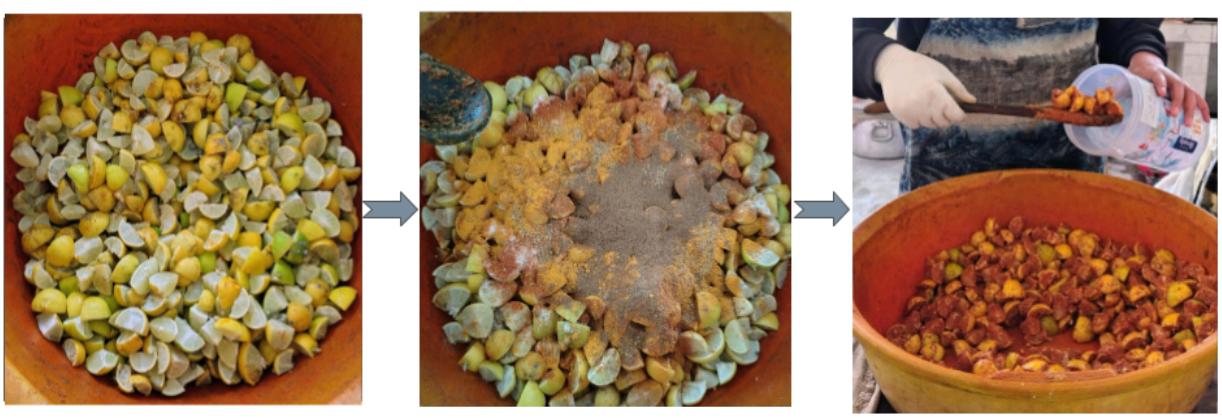
1. Developed pickles (multiple varieties), pineapple jam, juice (Malta & Aonla), Preserves (Candy & Murabba) and papaya & tomato chutney using only organic ingredients—zero chemical preservatives.
2. Hands-on involvement in recipe design, ingredient sourcing, hygienic preparation, and small-batch production to ensure ultimate freshness.
3. Created attractive, eco-friendly packaging and designed an original brand identity highlighting “100% Natural.”
4. This phase strengthened practical skills in quality control, small-batch production planning, and product differentiation for FMCG markets.

Product Preparation Process Flow

Pickle Preparation Process:

PICKLE PREPARATION PROCESS

LEMON PICKLE

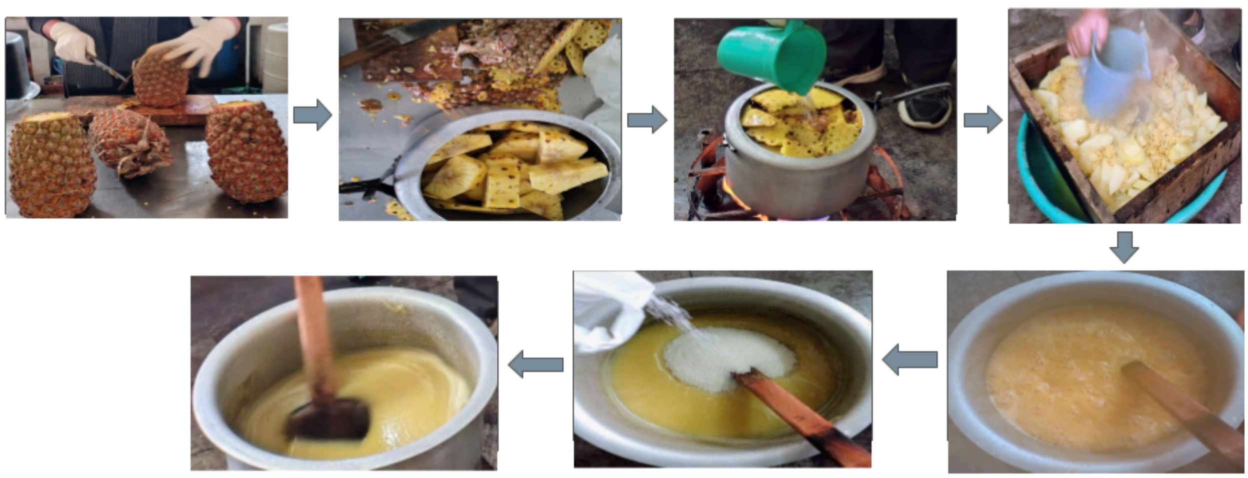


Raw Lemon selection & Cutting and Salting → Spice Preparation → Addition of oil, Mixing & Packaging

Jam Preparation Process:

JAM PREPARATION PROCESS

PINEAPPLE JAM



***1.**Selection, washing and peeling **2.**Cutting and slicing **3.** Heating and softening **4.**Pulp extraction **5.**Controlled cooking to concentrate fruit pulp. **6.**Addition of measured sugar **7.**Continuous stirring until desired jam consistency is achieved.*

Juice Preparation Process:

JUICE PREPARATION PROCESS

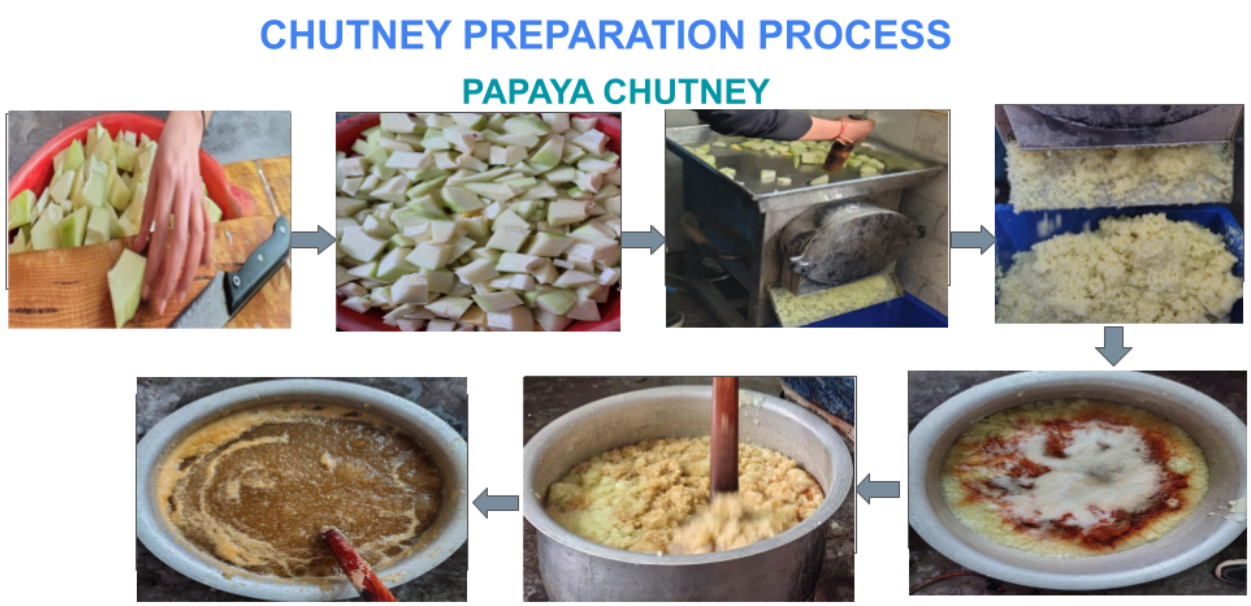
ORANGE JUICE PREPARATION

***1.**Selection & Cutting **2.**Juice Extraction **3.**Filtration (First Stage) **4.**Clarified Juice **5.**Sugar Syrup Preparation **6.**Sugar Addition & Mixing*

Aonla Murrabba (Preserve) Preparation Process:

__1.__Selection, Washing & Pricking __2.__Sugar Syrup Preparation __3.__Blanching __4.__Soaking in Syrup __5.__Sugar Concentration __6.__Final Preserve Stage

Papaya Chutney Preparation Process:



__1.__ Cutting __2.__Uniform Chopping __3.__Grinding / Crushing __4.__Pulp Collection __5.__Spice Addition __6.__Controlled Cooking __7.__Final Consistency

Marketing Research & Pricing Strategy

1. Conducted rapid market surveys among students, faculty, local families, and local shops to understand acceptable price ranges and preferred product variants.
2. Reviewed pricing and offerings of existing brands to understand where our product could realistically fit.
3. Finalised a price point that stayed affordable for the target audience while still covering costs and allowing for a reasonable margin.
4. Pricing decisions were finalized after balancing consumer affordability with cost recovery, ensuring sustainable margins and overall project profitability.

Cost-Efficient Digital & Offline Marketing Campaign

Digital Marketing Execution (Cost-Efficient)

1. Designed simple, mobile-friendly product visuals highlighting ingredient transparency and preservative-free positioning for WhatsApp-based promotion.
2. Designed engaging WhatsApp banners:

   "No Chemicals, Only Nature—Taste Our Pure, Handmade Pickles & Jams!"

3. Used WhatsApp groups for peer-to-peer outreach, with students sharing promo images and positive experiences.

Offline & Word-of-Mouth Promotion

1. Printed and distributed door-to-door pamphlets in campus(hostels & different Department), staff quarters, and residential areas.
2. Executed direct-to-consumer product sampling and taste-testing initiatives, driving instant feedback and on-the-spot sales.
3. Organized local word-of-mouth promotional chains.

The campaign strategy prioritized trust-building and direct engagement over reach-based advertising, which proved effective for localized FMCG selling.

Campaign Objective:

The campaign aimed to generate awareness, build consumer trust, and drive direct sales for preservative-free organic products using resource-optimized digital and offline communication channels. The focus was on authenticity, local targeting, and direct-to-consumer engagement rather than paid advertising.

Visual Branding & Promotional Communication:

1. Brand Positioning – “Bring Home Real Taste”

This visual communicated the brand’s core promise of authenticity and homemade quality. The messaging focused on emotional connection by highlighting traditional preparation methods and preservative-free ingredients, helping establish initial brand trust.

2. Product Assortment Display

This creative presented the full product range together to increase perceived variety and value. Displaying multiple products in a single visual helped improve cross-selling opportunities and strengthened brand identity.

3: Natural & Chemical-Free Positioning

The poster emphasized the absence of preservatives and artificial additives. This positioning differentiated the products from mass-produced FMCG brands and targeted health-conscious consumers seeking safer alternatives.

4: Call-to-Action Visual ("Order Now")

This visual was designed to trigger purchase decisions through direct call-to-action messaging. It was primarily circulated via WhatsApp and personal networks to convert interest into confirmed orders.

Channel Execution & Consumer Response:

The promotional materials were distributed through WhatsApp messaging, direct phone communication, and word-of-mouth referrals within the local network. This approach minimized marketing costs while maintaining personal engagement with customers. The strategy resulted in increased inquiries, repeat purchase interest, and measurable sales growth during the campaign period.

Go-to-Market Execution

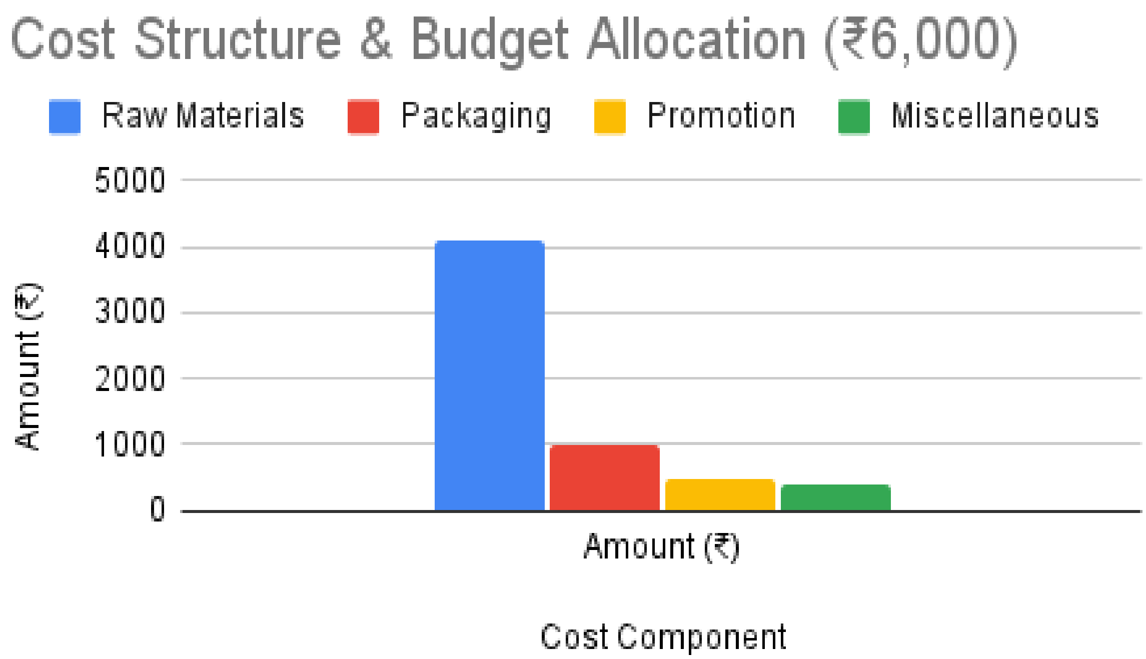
1. Aligned promotional activities with product availability and key selling periods.
2. Worked with campus clubs and student representatives to support word-of-mouth outreach.
3. Reviewed audience responses and made small adjustments to banners and messaging based on feedback received.
4. This phase offered practical experience in aligning product availability with promotional activities, an essential operational capability in FMCG environments.

Key Performance Snapshot

Metric	Outcome	Key Takeaway
Initial Investment	**₹6,000**	Managed project budget for product and promotions
Total Revenue	**₹9,900**	Sold all available stock through direct consumer engagement
Net Profit	**₹3,900**	Learned cost tracking and profit calculation
Return on Investment	**65%**	Demonstrated effective use of limited resources
Customer Engagement Lift	~25–30% increase	Monitored WhatsApp & in-person interactions to understand customer response
User-Generated Content Growth	Moderate growth	Observed and encouraged customers to share feedback and experiences
Repeat Purchase Intention	High (observed)	Identified early indicators of product-market fit
Customers Reached	~45–50 direct buyers	Gained experience in local market targeting and direct sales

Cost Structure & Budget Allocation

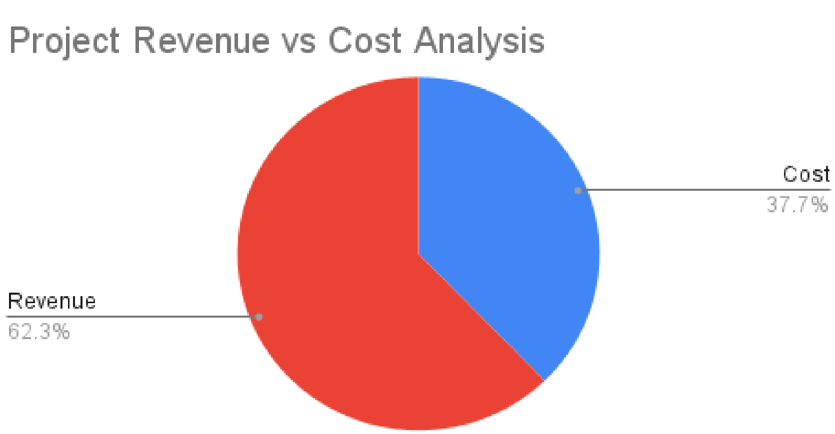
Cost Component	Amount (₹)	% of Total Cost
Raw Materials	4100	68.33%
Packaging	1000	16.67%
Promotion	500	8.33%
Miscellaneous	400	6.67%



The cost structure shows that raw materials account for the highest share of total investment, followed by packaging and promotion. Efficient cost allocation helped maintain profitability while keeping overall expenses under control.

Revenue vs Cost Analysis

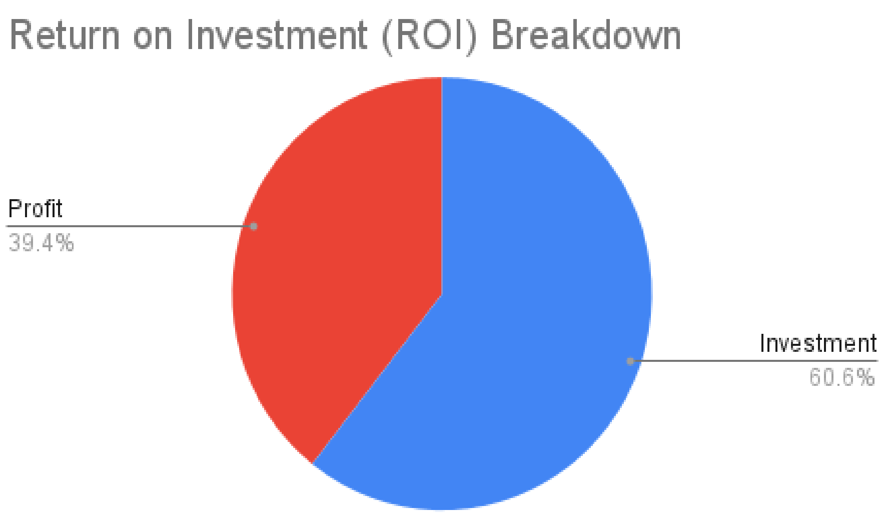
Type	Amount (₹)
Cost	6000
Revenue	9900



The revenue-to-cost comparison highlights that project revenue exceeded total costs, indicating strong commercial viability and effective pricing strategy.

Return On Investment (ROI) Breakdown

Category	Amount (₹)
Investment	6000
Profit	3900



An overall ROI of 65% demonstrates efficient cost management and strong profit generation capability at a small-scale FMCG level.

Unit Economics & Break-even Analysis

The estimated production cost per unit averaged ₹60, while the selling price was set at ₹95. This resulted in a profit of ₹35 per unit and an approximate gross margin of 36–37%.

The pricing strategy balanced affordability with profitability, ensuring that cost recovery was achieved without discouraging student buyers.

Understanding per-unit profitability helped guide pricing decisions and ensured sustainable margin management.

Break-even Analysis:

Break-even Units = Fixed Cost / Contribution per Unit

With a contribution margin of 35 INR per unit and total fixed costs estimated at 3,000 INR, the project required approximately 86 units to reach break-even. This threshold was achieved within the initial sales cycle, indicating efficient cost management and demand validation.

Project Limitations & Risk Management

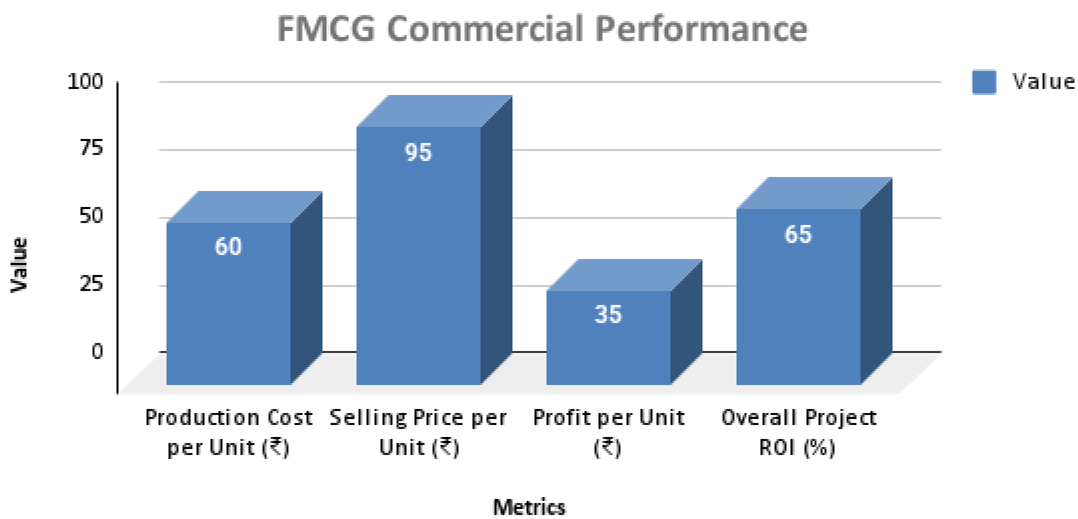
As a pilot-scale initiative, the project operated without formal retail licensing and was limited to direct local sales. Production was conducted in small batches, which restricted scalability and consistency across larger volumes.

Limited cold storage capacity affected shelf-life management for perishable products such as juice. Order tracking and inventory coordination were handled manually, which may not be sustainable at higher scale.

These constraints highlight areas for structural improvement before commercial expansion.

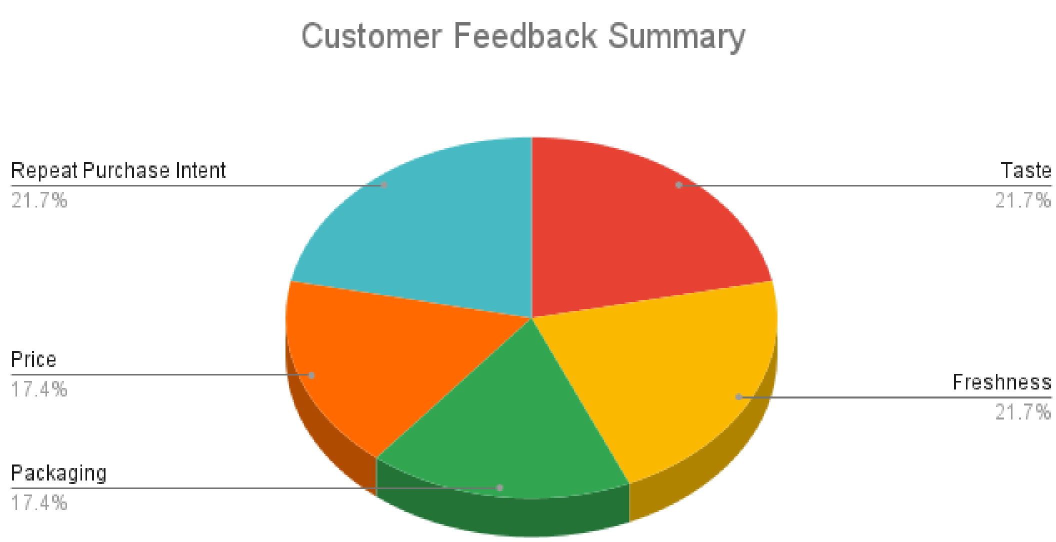
Project : FMCG Commercial Performance

Metrics	Value
Production Cost per Unit (₹)	60
Selling Price per Unit (₹)	95
Profit per Unit (₹)	35
Overall Project ROI (%)	65



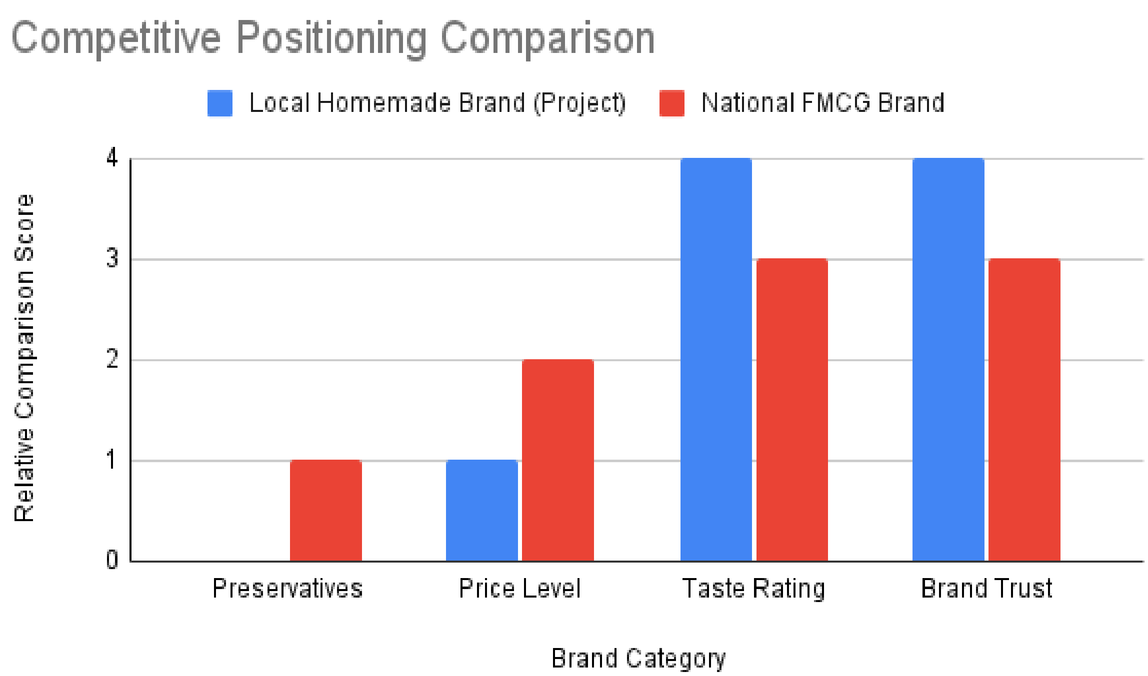
The performance metrics summarize key financial indicators such as production cost, selling price, profit per unit, and overall ROI.

Customer Feedback & Satisfaction Analysis



Customer feedback indicates high satisfaction in terms of taste and freshness, along with strong repeat purchase intent, reflecting positive market acceptance.

Competitive Positioning Comparison



Competitive Analysis & Market Positioning

Brand	Local Homemade Brand (Project)	National FMCG Brand
Preservatives	0 (No)	1 (Yes)
Price Level	1 (Low)	2 (Medium)
Taste Rating	4 (Very Good)	3 (Good)
Brand Trust	4 (Very Good)	3 (Good)
Distribution	Direct Sales	Retail Stores
Trust Source	Personal Interaction	Brand Reputation

- Price Level: 1 = Low, 2 = Medium
- Taste & Trust: 1–5 scale { 1= Poor/Not Trustworthy , 2 = Average/Low Trust, 3 = Good/Neutral, 4 = Very Good/High Trust, 5 = Excellent/Utterly Trustworthy}
- Preservatives: 0 = No, 1 = Yes

Price levels are categorized on a relative basis (Low, Medium, High) to reflect comparative market positioning rather than absolute prices.

While national FMCG brands benefit from strong brand equity, established supply chains, and wider distribution networks, they lack localized freshness and small-batch authenticity. The competitive advantage of this project lies in consumer trust, direct engagement, and preservative-free positioning. The shorter supply chain enables better freshness control and customer feedback integration.

SWOT ANALYSIS

STRENGTHS:

- Preservative-free and natural positioning
- Direct consumer trust and feedback loop
- Strong ROI despite limited investment

WEAKNESSES:

- Limited production scale
- Shorter shelf life compared to industrial brands
- Manual order management

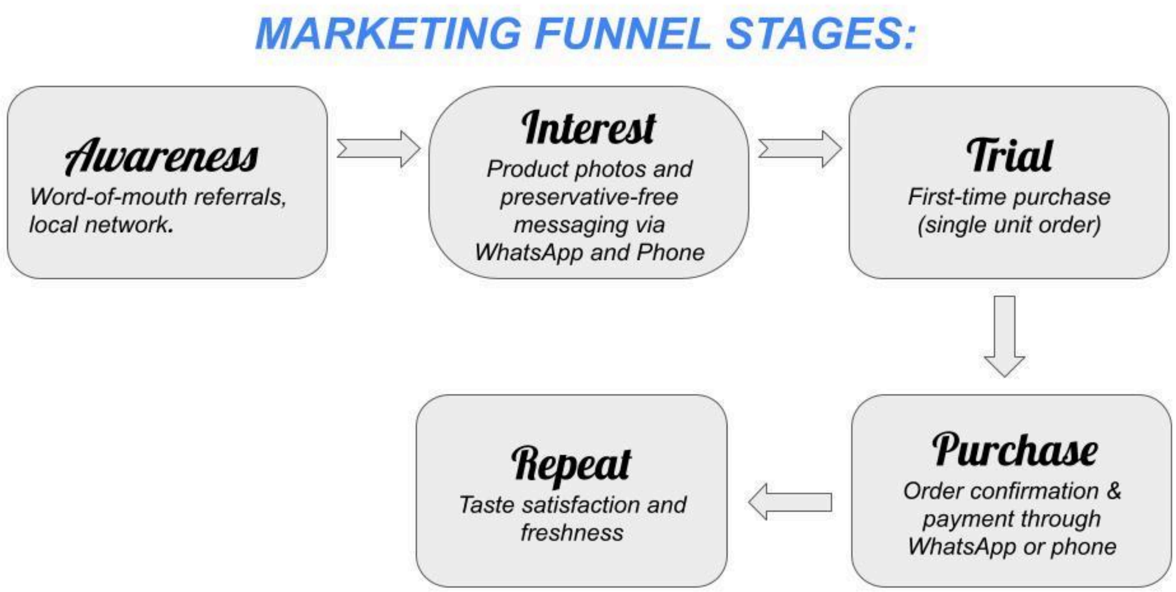
OPPORTUNITIES:

- Rising demand for clean-label food products
- Potential expansion into local retail outlets
- Digital catalog and structured online selling

THREATS:

- Established FMCG brands with strong distribution
- Price competition from mass producers
- Regulatory requirements for scaling

Marketing Funnel Stages



The marketing funnel illustrates a simple yet effective customer journey driven by word-of-mouth promotion, WhatsApp communication, and repeat purchases based on product satisfaction.

Funnel Performance Analysis:

Approximately 45–50 individuals were directly reached during the campaign. Of these, around 30 expressed active interest through inquiries or product discussions. Nearly 20 customers converted into confirmed buyers, and approximately 12 demonstrated repeat purchase intent based on satisfaction feedback.

The funnel progression indicates strong conversion from interest to purchase, supported by direct engagement and trust-based selling. Repeat purchase indicators suggest early signs of product-market fit within the local segment.

Scalability & Future Growth Strategy

The scalability approach focuses on expanding the existing small-batch model while maintaining product quality and brand trust. Standardizing recipes and packaging processes would ensure consistency across larger production volumes. A structured digital product catalog can streamline order management and improve customer access beyond the immediate campus ecosystem.

To expand distribution, partnerships with local grocery stores and community retailers can be explored while maintaining the preservative-free positioning. Introducing tier-based pricing for bulk purchases may enhance order value and repeat purchases. Additionally, gradual integration of structured digital campaigns with basic performance tracking tools can optimize customer acquisition while preserving cost efficiency.

Managerial & Business Implications

The project demonstrates how small-scale FMCG ventures can leverage direct consumer access to test products, pricing, and demand with minimal risk. Insights from consumer feedback and sales performance can guide future decisions related to packaging, pricing adjustments, and channel expansion. The experience highlights the importance of aligning operations, marketing, and financial tracking for sustainable growth.

Key Learnings & Skills Demonstrated

This project helped bridge the gap between academic learning and practical business application. By managing product pricing, customer interaction, and sales execution, the project strengthened my understanding of consumer behavior and purchase decision factors.

Working within a fixed budget improved my ability to analyze costs, track revenue, and evaluate profitability using basic financial metrics such as ROI. The process of creating and refining promotional visuals also enhanced my communication and content development skills.

Overall, the project contributed to the development of transferable skills including market analysis, pricing logic, customer engagement, and performance evaluation, which are relevant to entry-level roles in FMCG marketing, sales, and business analysis.

Conclusion

This project demonstrates my ability to convert horticultural knowledge into a commercially viable FMCG model through structured pricing, consumer insight analysis, and targeted marketing execution. By managing end-to-end product development, optimizing channel investments, and tracking measurable ROI, the initiative validated both product–market fit and sustainable unit economics within a localized ecosystem.

Beyond academic learning, this experience strengthened my skills in strategic positioning, data-driven decision-making, and scalable growth planning, preparing me for marketing and business-oriented roles.